

FRMO Corp. 2026 Annual Meeting

Summary and cleaned meeting record

Thursday, September 10, 2026, 2:30 p.m. ET

Hybrid: Vinson & Elkins LLP, New York, and virtual. First annual meeting without Murray Stahl.

Source: Drew Goldman Granola notes. Official FRMO transcript not yet posted.

This note keeps the substance of the meeting and drops voting theater, housekeeping, and filler.

Executive summary

This was FRMO's first annual meeting without Murray Stahl. The vote was not the story. All seven director nominees were elected with 100% of votes cast. CBIZ CPA TC was ratified as auditor for the year ending June 30, 2027.

Fiscal 2026 results were marks, not operations. Fourth-quarter net worth fell about \$46 million, mainly because Texas Pacific Land dropped 25% in the quarter. Digital assets rose 11% in the quarter and offset some of that. For the full year, TPL was up only 6% after an 80%+ prior year, and bitcoin-related holdings were down more than 30% after a 50%+ prior year. The fiscal year-end moved from May 31 to June 30. First-quarter reports will now come in mid-November rather than mid-October.

Horizon Kinetics assets are up in 2026. Outflows were described as minimal, with net inflows likely positive. Stephen Bregman and Peter Doyle said the firm is not laying people off, not merging, and not for sale. The claim to investors was that the portfolios could still compound if the firm closed its doors for five years. Stahl's investment skill was called important but not irreplaceable. The TPL, MIAX, and related relationships he built are still in place.

The book thesis did not change. TPL is still framed as having as much future value creation as it has already delivered. Bitcoin remains the long inflation hedge; FRMO just swapped GBTC into Grayscale Bitcoin Mini to cut fees from about 150 basis points to about 15, without a taxable event. MIAX options share is 17.1%. The Canadian Securities Exchange has roughly tripled in about six years and can now list an ETF. Winland remains the slow-capital miner. Zcash mining is highly profitable now; bitcoin and litecoin mining are not. FRMO is close to control of Winland. REN was called the most interesting Horizon product. There is a new, unnamed public natural-gas consolidator, sourced by James Cavalo.

Meeting facts

Date: September 10, 2026, 2:30 p.m. ET

Format: Hybrid. First annual meeting after Stahl.

Record date: July 14, 2026

Shares outstanding: 44,022,781

Quorum: 32,496,617 shares (73.81% of voting power)

Speakers: David Arndt (CFO since April 2026); Stephen Bregman and Peter Doyle (co-CEOs)

New CFO: Arndt. Public accounting background. Previously at Scott's Liquid Gold (the Horizon Kinetics merger).

Key takeaways

Governance

- All seven director nominees elected. 100% of votes cast.
- CBIZ CPA TC ratified as auditor for FY ending June 30, 2027 (99.9% of votes cast).

Financial results (David Arndt)

- Q4 FY2026 net worth loss of about \$46 million.
- Driver: 25% decline in TPL during fiscal Q4.
- Partial offset: 11% gain in digital assets (bitcoin, GBTC).
- Full-year loss: TPL up only 6% vs. 80%+ in FY2025; GBTC/bitcoin down 30%+ vs. +50% the prior year.
- Fiscal year-end changed from May 31 to June 30. One-month transition in June 2026. Q1 reports now mid-November.
- Arndt's work so far: compliance, enhanced reporting, first MD&A section.

Leadership after Stahl

- First concern after Stahl's death: Horizon Kinetics asset retention.
- Assets up in 2026. Minimal outflows. Net inflows likely positive.
- Town hall message: no layoffs, no merger, no sale.
- Bregman and Doyle described as fully up to speed operationally.
- Line to investors: the firm could close the doors for five years and the portfolios would still compound.
- Stahl's acumen important but not irreplaceable. Multiple analysts can find new ideas.
- Relationships Stahl cultivated (TPL, MIAX, Red Caldwells, Miami International) are ongoing.

TPL

- Still viewed as having as much future value creation ahead as it has already delivered.
- Oil production on royalty acreage: 384,000 barrels (2015) to 4.9 million barrels (2025).
- Water sales: \$8 million (2016) to \$300 million (2025).

Bitcoin and Grayscale

- Thesis: bitcoin as the long monetary inflation hedge, still early. Share of global money supply still near zero. 1% penetration would be a very large increase from here.
- Matt Hauck (Winland CEO, former Horizon employee) has a cost-of-production model based on global mining-rig efficiency and historical electricity costs. It points to a much higher bitcoin price in about 24 months. Published in the latest Horizon Kinetics quarterly commentary; full model on horizonkinetics.com.
- GBTC to Grayscale Bitcoin Mini swap completed in the last few weeks.
- Fee: about 150 bps to about 15 bps.
- Saves clients about \$7 million a year. Saves the FRMO Multi-Strategy Fund about \$800,000 a year.
- Structured to avoid a taxable event. Required legal and tax opinions.

MIAX and Canadian Securities Exchange

- MIAX options share: about 1% at first investment, 17.1% now.
- Options segment volume up 42% in 2025 vs. 26% industry growth.
- 2025 revenue up more than 50%. 2026 expected up about 25%.
- Cash operating earnings more than doubled in both 2024 and 2025.
- Futures business just starting: either adds real value or the losses get cut.
- Stahl credited with willing MIAX into existence. A Horizon employee sits on the MIAX board.

- CSE: owned about six years, roughly 3x. Lists about half of Canada's small-cap emerging-growth companies.
- CSE trading volume up 28% and trading value up 50% in 2025. Recently approved to list its first ETF.

Winland and mining

- Gradual capital deployment, only when ROI is recoverable.
- Described as the only publicly traded miner with cumulative operating profits.
- Four largest public miners: \$21 billion combined market cap, operating losses every quarter for eight quarters, average operating-loss margin over 50%.
- Those miners pivoted toward AI/data centers after multiples contracted. They had raised capital continuously and put it into depreciating equipment.
- Bitcoin and litecoin mining not attractive now.
- Zcash mining highly profitable now. Selling half to cover operating expenses.
- FRMO close to becoming the controlling shareholder of Winland.
- Consensus Mining is a separate entity. FRMO advises but does not control. A Winland merger is possible but is not FRMO's call alone.

REN and new work

- REN called the most interesting product in the Horizon family.
- Trades at a slight discount. Peter thinks it should trade at a premium.
- Plans at-the-market issuance to grow AUM.
- Horizon Kinetics does not earn management fees until AUM hits \$25 million. Currently a few million short.
- Has valuable carry-forward tax losses.
- New post-Stahl investment, unnamed, recently public: Quantum South investor rolling up natural-gas assets on favorable terms. About \$600 million market cap. Seen as a potential multi-bagger. Found by James Cavalo. Office in the same building as Horizon's new 6th Avenue offices.
- Levered/inverse ETF short strategy still active in select funds (example: Polestar). Pair trades used to hedge. Modest vs. fund size, but offsets management fees. Requires patience.

Follow-ups from the meeting

- Charlise Martin, Horizon Kinetics, inbound routing: cmartin@horizonkinetics.com
- 2026 shareholder letter when posted on frmocorp.com and OTC Markets.
- Matt Hauck bitcoin cost-of-production model in the latest HK quarterly commentary.

Cleaned meeting record

What follows is the substance of the remarks, in meeting order, cleaned of quorum mechanics, inspector-of-election language, and other filler. It is reconstructed from Granola notes, not a word-for-word ASR dump. Granola's verbatim transcript is not available on this plan. Speaker labels are used only where the notes make the speaker clear.

Formalities

The 2026 annual meeting was hybrid, in person and virtual. It was the first annual meeting without Stahl. Record date July 14, 2026. 44,022,781 shares outstanding. Quorum was 32,496,617 shares, 73.81% of voting power. Both proposals passed. All seven director nominees were elected with 100% of votes cast. CBIZ CPA TC was ratified as auditor for the fiscal year ending June 30, 2027, with 99.9% of votes cast.

David Arndt, CFO

Arndt became CFO in April 2026. He came from public accounting and from Scott's Liquid Gold, the company that merged with Horizon Kinetics. His focus so far has been compliance, better financial reporting, and adding an MD&A section for the first time.

He walked through the marks. Fourth-quarter net worth fell about \$46 million. The main driver was a 25% decline in TPL during fiscal Q4. Digital assets, bitcoin and GBTC, were up 11% in the quarter and offset some of the loss.

The full-year loss had the same shape. TPL was up only 6%, against 80%+ in FY2025. Digital assets were down more than 30%, against a 50%+ gain the year before.

The fiscal year-end changed from May 31 to June 30. June 2026 was a one-month transition period. First-quarter reports will now be issued by mid-November instead of mid-October.

Stephen Bregman and Peter Doyle, on the firm after Stahl

The first worry after Stahl died was whether Horizon Kinetics would keep its assets. Assets are up in 2026. Outflows were minimal. Net inflows are likely positive.

The firm held a town hall. The message was no layoffs, no merger, and no sale. Bregman and Doyle said they are now fully up to speed operationally.

The line to investors was that the firm could close the doors for five years and the portfolios would still compound. Stahl's investment acumen was described as important but not irreplaceable. There are multiple analysts and team members who can find new opportunities. The relationships Stahl cultivated, including TPL, MIAx, Red Caldwells, and Miami International, are still in place.

TPL and the long bitcoin thesis

Management still sees as much future value creation in TPL as the company has already delivered. Oil production on the royalty acreage went from 384,000 barrels in 2015 to 4.9 million barrels in 2025. Water sales went from \$8 million in 2016 to \$300 million in 2025.

Bitcoin is still framed as the long monetary inflation hedge, and still early. Market share versus global money supply is still near zero. Getting to 1% would be a near-infinite increase from today's base.

Matt Hauck, Winland's CEO and a former Horizon employee, built a cost-of-production model for bitcoin pricing. It uses global mining-rig efficiency and historical electricity costs. It points to a significantly higher bitcoin price in about 24 months. The model is in the most recent Horizon Kinetics quarterly commentary, with the full version on horizonkinetics.com.

In the last few weeks FRMO completed the GBTC to Grayscale Bitcoin Mini swap. The fee went from about 150 basis points to about 15. That saves clients about \$7 million a year and saves the FRMO Multi-Strategy Fund about \$800,000 a year. The swap was structured so it would not be a taxable event. That required legal and tax opinions.

MIAx and the Canadian Securities Exchange

MIAx options market share was about 1% when Horizon first invested. It is 17.1% now. Options segment volume was up 42% in 2025, against 26% industry growth. 2025 revenue was up more than 50%. 2026 revenue is expected up about 25%. Cash operating earnings more than doubled in both 2024 and 2025. The futures business is just getting started. Either it adds significant value, or the losses are eliminated.

Stahl was credited with willing MIAx into existence. A Horizon employee sits on the MIAx board.

The Canadian Securities Exchange has been owned for about six years and is up about 3x. It lists about half

of the small-cap emerging-growth companies in Canada. Trading volume was up 28% and trading value up 50% in 2025. It was recently approved to list its first ETF.

Winland and mining

The FRMO/Winland approach is gradual capital deployment, and only when the ROI is recoverable. Management said Winland is the only publicly traded miner that has generated cumulative operating profits. The four largest public miners have a combined \$21 billion market cap, operating losses every quarter for eight quarters, and an average operating-loss margin over 50%. Those firms pivoted toward AI and data centers after valuation multiples contracted. Previously they raised capital continuously and deployed it immediately into depreciating equipment.

Bitcoin and litecoin mining are not attractive right now. Zcash mining is highly profitable. They are selling half of the Zcash to cover operating expenses.

FRMO is close to becoming the controlling shareholder of Winland. Consensus Mining is a separate entity. FRMO advises it but does not control it. A merger with Winland is possible, but that is not FRMO's call alone.

REN and new investments

REN was described as the most interesting product in the Horizon family. It trades at a slight discount. Peter believes it should trade at a premium. The plan is at-the-market issuance to grow AUM. Horizon Kinetics does not earn management fees until AUM hits \$25 million. It is currently a few million short of that. The fund has valuable carry-forward tax losses.

There is a new investment made after Stahl, unnamed, that recently went public. It is a Quantum South investor rolling up natural-gas assets and able to make acquisitions on favorable terms. Market cap is about \$600 million. Management sees it as a potential multi-bagger. James Cavalo found it. The office is in the same building as Horizon's new offices on 6th Avenue.

The levered and inverse ETF short strategy is still active in select funds, including Polestar. Pair trades are used to hedge. It requires patience and selectivity. The contribution is modest relative to fund size, but it offsets management fees.

Close

Inbound company introductions and questions should go to Charlise Martin at Horizon Kinetics, cmartin@horizonkinetics.com, so they reach the right person. The 2026 shareholder letter will be posted on frmocorp.com and the OTC Markets site in the coming weeks.

*Granola note: notes.granola.ai (2026 Annual Meeting)
Prepared for Magis Capital Partners, September 13, 2026.*